

HAZARD CONTROL TECHNOLOGIES LIMITED
AUDITED FINANCIAL STATEMENTS
FOR THE PERIOD ENDED
31ST DECEMBER 2025.

Hazard Control Technologies Limited.
Audited Financial Statements.
For The Period Ended 31st December 2025.

Table of Contents Page No.

Proprietors' report	1
Statement of Proprietors' responsibilities	2
Report of the Independent auditors	3
Financial Statements	
Statement of Financial Position	4
Statement of Changes In Equity	5
Statement of Comprehensive Income	6
Statement of Cash flow	7
Notes to the accounts	8-13

PAGE 1

Hazard Control Technologies Limited.

Audited Financial Statements.

For The Period Ended 31st December 2025.

Directors' Report

The Director submits his report together with the audited financial statements for the year ended 31st December 2025 which discloses the state of affairs of the Business.

PRINCIPAL ACTIVITIES

The Company is engaged in General Business

REGISTERED ADDRESS

P.O.Box 6986 Ronald Ngala Street
Nairobi, Kenya

RESULTS

The results for the year ended 31st December, 2025 are shown from Page 4.

Directors

The Name of the Directors are:

1. Francis Bulimo Osiolo

AUDITORS

Messrs.....***Evans Wasike & Company***...was appointed during the year and has expressed their willingness to continue in office in accordance to section 156 (6) of the cited Act.

PAGE 2

Hazard Control Technologies limited

Audited Financial Statements.

For The Period Ended 31st December 2025.

Statement of Proprietors' Responsibilities.

The Companies Act (Cap 486) requires the Proprietor to prepare financial statements which give a true and fair view of the statements of affairs of the Business at the end of the financial year and of the operating results for the period. It also requires the Proprietor to ensure that the business maintains proper accounting records which disclose with reasonable accuracy the financial position of the business. The Proprietor is also responsible for safe guarding the assets of the business.

The Proprietor accept the responsibility for the financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates and in compliance with the International Accounting Standards and the requirements of the companies Act (CAP 486). The Proprietor is of the opinion that the financial affairs give a true and fair view of the state of financial affairs of the Business as at 31st December 2025 and of its operating results for the year then ended. The Proprietor further accept responsibility for the maintenance as well on the adequacy of the systems of internal control.

Nothing has come to the attention of the Director to indicate that the Business will not remain a going concern for at least the twelve months from the date of this statement.

Signed..... (Francis Bulimo Osiolo)

Dated this day of 2026

PAGE 3

Hazard Control Technologies Limited

Audited Financial Statements.

For The Period Ended 31st December 2025.

REPORT OF THE INDEPENDENT AUDITORS

We have audited the financial statements which have been prepared on the basis of the accounting policies set out. We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit and to provide a reasonable basis for our opinion. The financial statements are in agreement with the books of account.

Proprietor's Responsibilities for the Financial Statements

Under the provisions of the Companies Act, the Proprietor is responsible for the preparation of Financial Statements which give a true and fair view of the Business's state of affairs and its operating results. Our responsibility is to express an independent opinion on the Financial Statements based on our audit and to report our opinion to you.

Auditor's Responsibility

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform our audit to obtain reasonable assurances that the financial statements are free from material misstatement. An audit includes an examination, on a test basis of evidence supporting the amounts and disclosures in the Financial Statements. It also includes an assessment of the accounting policies used and significant estimates made by the proprietor, as well as an evaluation of the overall presentation of the financial statements.

In our opinion proper books of account have been kept and the Financial Statements give a true and fair view of the state of the business's financial affairs as at 31st December 2025 and of its operations and its cash flows for the year then ended in accordance with International Accounting Standards and comply with the Companies Act.

The audit engagement partner responsible for the audit resulting in this report of the independent auditor is CPA Evans Wasike. M/N.15452

Certified Public Accountants



HAZARD CONTROL TECHNOLOGIES LIMITED
STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2025

	Notes	2025 Kshs	2024 Kshs
Revenue	1	11,254,760	1,879,258
Direct Costs	2	7,841,121	978,530
Gross Profit		3,413,639	900,728
Other income	3	-	-
Administrative expenses	4	2,836,800	445,000
Operating expenses	6	-	364,000
Operating Profit		576,839	91,728
Finance expenses	7	155,300	24,260
Profit before Tax		421,539	67,468
<u>Tax Computation</u>			
Income Tax Charge		126,462	20,240
WHT Credits		117,101	22,867
Tax Payable		9,361	(2,627)
Net Profit		412,178	70,094

HAZARD CONTROL TECHNOLOGIES LIMITED

STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER 2025



		2025	2024
	Notes	Kshs	Kshs
CAPITAL EMPLOYED			
Capital and reserves			
Share capital		100,000	100,000
Retained earnings (page 9)		612,180	200,000
Directors Contribution	10	848,501	-
Shareholders Surplus		1,560,681	300,000
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	17	1,139,895	300,000
Pre-payments		-	-
		1,139,895	300,000
Current assets			
Cash and cash equivalents	16	420,785	-
Trade and other receivables	14	-	-
		420,785	-
Current liabilities			
Trade & other payables	13	-	-
Bank overdraft	10	-	-
		-	-
Net current (liabilities)/ assets		420,785	-
Total Assets		1,560,681	300,000

The financial statement were approved and authorised for issue by the Board of Directors

 Director

HAZARD CONTROL TECHNOLOGIES LIMITED
STATEMENT OF CASHFLOWS
FOR THE YEAR ENDED 31 DECEMBER 2025

	Notes	2025 Kshs	2024 Kshs
<u>Cash flows from operating activities</u>			
(Profit) before income tax		421,539	67,468
Adjustments for:			
Taxes payable		126,462	20,240
Bad Debts Written Off		-	-
Depreciation on property and equipment		-	-
Operating (Profit) before working capital changes		548,001	87,708
Working Capital Changes			
<i>(Increase)decrease in current assets</i>			
Increase/Decrease in Pre-payments		-	-
Pre-Paid expenses		(135,822)	-
Increase in accrued expenses		-	-
<i>Increase(decrease) in current liabilities</i>			
Accounts Recievables		-	-
Accounts Payables		-	-
Net Cash Provided By Operating Activities		412,179	87,708
Cash flows from investing activities			
Adjustments to P.P.E		-	-
Disposal of Investments		-	-
Purchase of Furniture & Fittings		-	-
Purchase of Equipment		(839,895)	-
Purchase of computer and accessories		-	-
Cash flows from Investing Activities		(839,895)	-
Cash flows from financing activities			
Directors Capital Additions		848,501	-
Loan repayment		-	-
Directors drawings		-	(87,708)
Cash flows from Financing Activities		848,501	(87,708)
Net Cash out-flow		420,785	(0)
Cash and cash equivalents at beginning of year		(0)	-
Cash and cash equivalents at end of year		420,785	(0)

HAZARD CONTROL TECHNOLOGIES LIMITED
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2025

	Common Stock Kshs	Retained earnings Kshs	Directors Capital Additions Kshs	Total Kshs
At 1st January 2024	100,000	129,906	-	229,906
Net Profit	-	70,094	-	70,094
	-		-	-
Drawings		-		
At 31st December 2024	<u>100,000</u>	<u>200,000</u>	<u>-</u>	<u>300,000</u>
At 1st January 2025	100,000	200,000	-	300,000
Addition		-	848,501	
Net Profit	-	412,178		412,178
At 31st December 2025	<u>100,000</u>	<u>612,179</u>	<u>848,501</u>	<u>1,560,680</u>

HAZARD CONTROL TECHNOLOGIES LIMITED

NOTES

ANNUAL REPORTS AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

1 ACCOUNTING POLICIES

The principal accounting policies adopted in the preparation of this financial statements are set out as below:

(a) BASIS OF PREPARATION

The financial statements are presented in the functional currency, Kenya shillings under the historical cost convention.

The preparation of financial statements in conformity with IFRS for SMEs requires the use of estimates and assumptions that affects the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amount of revenue and expenses during the reporting period. Although these estimates are based on the directors best knowledge of current events and actions, actual results ultimately may differ from those estimates.

(b) REVENUE RECOGNITION

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the company and revenue can be reliably measured.

(c) TAXATION

Taxation is provided on the basis of the results for the year as adjusted in accordance with tax legislation. Income tax expense represents the sum of the tax currently payable and deferred tax. The tax currently payable is based on

Deferred income tax is recognised on differences between the carrying amounts of assets and liabilities in the Financial instruments carried on the statements of financial position includes cash and bank balances, trade

(d) FINANCIAL INSTRUMENTS

Financial instruments carried on the statements of financial position includes cash and bank balances, trade receivable, trade payables and taxation. The particular recognition methods adopted are disclosed in individual

(e) TRADE RECEIVABLES

Trade receivables are carried at anticipated realizable value. An estimate is made for doubtful receivables based on a review of all outstanding amounts at the year end. Bad debts are written off in the year in which they are identified.

(f) TRADE PAYABLES

Trade payables are stated at their nominal value.

(g) CASH AND CASH EQUIVALENTS

Cash and cash equivalents comprise cash in hand and with banks. For the purpose of the cash flow statement, cash and cash equivalent are stated net of bank overdrafts.

HAZARD CONTROL TECHNOLOGIES LIMITED

NOTES

ANNUAL REPORTS AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

ACCOUNTING POLICIES (CONT'D)

(h) CRITICAL ACCOUNTING ESTIMATES AND JUDGMENTS

Estimates and judgments are continually evaluated and are based on historical experience and other factors, including experience of future events that are believed to be reasonable under the circumstances. In the process of applying company's accounting policies, management has made judgments in determining:

- (i) The classification of financial assets and liabilities
- (ii) Whether assets are impaired
- (iii) Provisions for contingent liabilities

(i) PROPERTY PLANT & EQUIPMENT

All property, plant & equipment is initially recorded at cost. Depreciation is calculated on reducing balance basis to write down the cost of each asset, to their residual values over their estimated useful life as follows:

	Rate %
Computers	30.0
Furniture and fixtures	12.5
Workshop Equipments	12.5
Office construction	12.5
Motor Vehicles	25.0

(j) FINANCIAL RISK MANAGEMENT

The Company risk limits are regularly assessed to ensure alignment with the Company's objectives and prevalent market conditions. The directors are closely involved in ensuring that a variety of techniques are used to assess and manage the said risks.

(i) Interest rate risk

The company's policy is to manage its interest costs by relying primarily on shareholders' funds and borrowings. Any borrowings are negotiated on the basis of a fixed rate of interest.

(ii) Credit risk

Credit risk on trade receivables is managed by ensuring that credit is extended to customers with an established credit history. The credit history is determined by taking into account the financial position, past experience and other relevant factors.

HAZARD CONTROL TECHNOLOGIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

	2025	2024
	Kshs	Kshs
1 Revenue	11,254,760	1,879,258
	<u>11,254,760</u>	<u>1,879,258</u>
2 Purchases		
Purchases	7,841,121	978,530
	-	-
	<u>7,841,121</u>	<u>978,530</u>
3 Other income		
Interest income	-	-
Other income	-	-
	<u>-</u>	<u>-</u>
4 Operating Expenses		
Staff costs (Note 6)	1,996,800	-
Rent-Premises	840,000	-
Stationery and Printing	-	12,000
Freight and Transport	-	80,000
Telephone	-	36,000
Workshop Exps	-	60,000
Traveling	-	120,000
Fuel	-	42,000
Donations	-	-
Accommodation	-	60,000
Audit Expenses	-	-
Computer Expenses	-	35,000
	<u>2,836,800</u>	<u>445,000</u>
5 Staff Costs		
Casual Wage Pay	1,824,000	-
Contribution to NSSF	172,800	-
	<u>1,996,800</u>	<u>-</u>

HAZARD CONTROL TECHNOLOGIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

	2025	2024
	Kshs	Kshs
6 Administration expenses		
Business Licences	-	-
Sales promotion	-	30,000
Training	-	210,000
Pre-Operating Expenses	-	100,000
Depreciation	-	24,000
	<u>-</u>	<u>364,000</u>
7 Finance expenses		
Bank charges	36,900	18,560
Insurance Expenses	118,400	5,700
Interest on borrowing	-	-
Finance charge on property	-	-
	<u>155,300</u>	<u>24,260</u>
8 Share capital		
Authorised Share-capital		
10,000 Ordinary Shares of K.Shs 100 each	<u>100,000</u>	<u>100,000</u>
Issued and fully paid		
800 Ordinary Shares of K.Shs 100 each	<u>100,000</u>	<u>100,000</u>
Retained earnings	-	-
opening balance	-	-
Share capital	-	-
9 Deposit for shares		
Shareholders' contributions	<u>-</u>	<u>-</u>
10 Borrowings		
Short term loans from friends	-	-
	<u>-</u>	<u>-</u>
12 Accumulated depreciation b/f	<u>24,000</u>	<u>-</u>
Depreciation for the year	<u>0</u>	<u>24,000</u>
	<u>24,000</u>	<u>24,000</u>
13 Trade and other Payables		
Trade payables	-	-
Other payables	-	-
VAT/IT payable	-	-
	<u>-</u>	<u>-</u>

HAZARD CONTROL TECHNOLOGIES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

14 Trade & other Receivables	2025	2024
	Kshs	Kshs
Trade and other receivables	-	-
	-	-
Deposit and payments	-	-
	-	-
15 Other Investments	-	-
Additions	-	-
	-	-
16 Cash and Bank balances		
Family Bank	420,785	-
Cash in hand	-	-
	420,785	-

17 Property and Equipment	Motor Vehicles	Furniture & Fittings	Equipment	Computers & Hardware	Total
	Ksh	Ksh	Ksh	Kshs	Kshs
Cost or Valuation	25.0%	12.5%	12.5%	30.0%	
As at 1 January 2024	-	-	-	-	-
Additions	-	-	324,000	-	324,000
As at 31 December 2024	-	-	324,000	-	324,000
Depreciation					
As at 1 January 2024	-	-	-	-	-
Charge for the year	-	-	24,000	-	24,000
As at 31 December 2024	-	-	24,000	-	24,000
Net-Book Values					
As at 31 December 2024	-	-	300,000	-	300,000
Cost or Valuation					
As at 1 January 2025	-	-	300,000	-	300,000
Additions	-	-	839,895	-	839,895
As at 31 December 2025	-	-	1,139,895	-	1,139,895
Depreciation					
As at 1 January 2025	-	-	24,000	-	24,000
Charge for the year	-	-	-	-	0
As at 31 December 2025	-	-	24,000	-	24,000
Net-Book Values					
As at 31 December 2025	-	-	1,139,895	-	1,139,895
As at 31 December 2024	-	-	300,000	-	300,000